This was introduced sequentially. It began with industrial inputs such as naphtha and fuel oil, and then for transportation fuels such as petrol and diesel, and finally for the household fuels, kerosene and liquefied petroleum gas (LPG).

Finally, the price of natural gas was linked to international fuel oil prices, instead of a cost-plus pricing regime.

This entire story took place over a six-year period. It led to increased investments in upstream, midstream and downstream sectors, productivity gains and higher accretion of domestic oil and gas reserves.

There was no political friction in this process. As the reforms were extensively discussed, there were no unpleasant shocks either to consumers or to producers, and the gains for consumers and for trade unions outweighed the pain. The entry of private firms was done through carefully designed auction procedures, so as to avoid accusations of corruption.

Example 30: Inflation targeting

Inflation targeting was talked about by some intellectuals in the early years of the first decade of the millennium, as a response to the difficulties that RBI was then facing with monetary policy. This public debate at an intellectual level led to the first recommendation in a government committee report by Percy Mistry, titled ‘Mumbai as an international financial centre’ (MIFC), in 2007. This was followed by a similar recommendation in Raghuram Rajan’s report in 2009. This was followed by a draft law for inflation targeting by Justice Srikrishna’s ‘Financial Sector Legislative Reforms Commission’.

There was a great deal of debate in newspaper columns, blog articles, research papers and conference panels. This was followed by an RBI committee, headed by Urjit Patel, which also recommended that inflation targeting be adopted. The implementation was done in two steps: first, the ‘Monetary Policy Framework Agreement’ that was signed between the finance secretary, Rajiv Mehrishi, and the RBI governor, Raghuram Rajan,